

# ACCOUNTANCY: HIGH-PRIORITY REPEATING TOPICS ANALYSIS

Expert Analysis of Exam Series WYXZ5, WYXZ7, EF1GH/1, PQ1RS/1

## 1. ACCOUNTING FOR SHARE CAPITAL

High Weightage

This is the single most consistent topic, appearing in every paper as a **6-mark long answer question** and multiple **1-mark MCQs**.

- **Pro-rata Allotment with Forfeiture and Reissue:** You must master the comprehensive problem where shares are oversubscribed, allotted on a pro-rata basis, and subsequently forfeited and reissued.
- **Standard Question Format:** Calculate excess application money adjusted, amount due on allotment, calls in arrears, and pass Journal Entries for forfeiture and reissue.

Example: "Mayank Ltd. invited applications... pro-rata basis... Jay failed to pay allotment... shares forfeited".

**Repeats in:** Source 2, Source 3, Source 5, Source 6.

## 2. CASH FLOW STATEMENT

This topic appears in every single source as a **6-mark question** in Part B (Analysis of Financial Statements).

- **Preparation / Calculation:** You are consistently asked to calculate Cash Flow from Operating, Investing, or Financing activities given a Balance Sheet and Notes to Accounts.
- **Key Adjustments:** Depreciation, Profit/Loss on sale of assets, Provision for Tax, and Proposed Dividend.

Example: "From the following Balance Sheet of Yogita Ltd., calculate 'Cash flows from Investing Activities' and 'Cash flows from Financing Activities'".

**Repeats in:** Source 1, Source 2, Source 3, Source 7.

## 3. PARTNERSHIP: ADMISSION, RETIREMENT, AND DEATH

Partnership accounting is broken down into specific recurring question types:

- **Revaluation and Partners' Capital Accounts (6 Marks):** Asking to prepare the Revaluation Account and Partners' Capital Accounts following the admission or retirement.

- **Death of a Partner (4-6 Marks):** Calculating the amount due to a deceased partner's executors. This often involves calculating profit up to the date of death.

Example: "Prepare Kishore's capital account to be presented to his executors".

**Repeats in:** Source 1, Source 2, Source 3, Source 6.

## 4. PARTNERSHIP: DISSOLUTION OF A FIRM

Dissolution consistently appears, usually testing your ability to pass **Journal Entries** for specific realization scenarios rather than preparing the full account.

- **Journal Entries for Realisation:** Handling assets taken over by partners, payment of liabilities, and realization expenses.

Example: "Pass necessary journal entries... Creditors took over furniture... Realisation expenses were paid".

**Repeats in:** Source 3, Source 5, Source 2.

## 5. ACCOUNTING FOR DEBENTURES

This topic usually appears as a **4-mark question** focused on the terms of issue and redemption.

- **Issue with Terms of Redemption:** Entries for debentures issued at a discount/premium and redeemable at a premium.

Example: "Issued 500, 9% Debentures of ₹ 100 each at 10% discount, redeemable at a premium of 10% after 5 years".

**Repeats in:** Source 1, Source 2, Source 3, Source 6.

## 6. FINANCIAL STATEMENT ANALYSIS

- **Comparative and Common Size Statements (3-4 Marks):** Choice between Comparative Statement of P&L or a Common Size Balance Sheet.
- **Accounting Ratios (3-4 Marks + MCQs):** Calculation of specific ratios like Inventory Turnover, Debt-Equity, or ROI.

**Repeats in:** Source 1, Source 2, Source 3, Source 4, Source 6.

### Summary Checklist for This Year

- ✓ **Journal Entries:** For Share Forfeiture (Pro-rata), Dissolution, and Issue of Debentures.
- ✓ **Ledger Accounts:** Revaluation A/c, Partners' Capital A/c, and Deceased Partner's Capital A/c.
- ✓ **Calculations:** Cash Flow from Operating/Investing activities and specific Accounting Ratios.